

trading interface, further expanding its capabilities. The platform could easily gain popularity because there is no slip-page against the price feed; however, the pooled liquidity and shared debt models offer interesting challenges (Table 6.7).

Table 6.7 Problems That Synthetix Solves

Traditional	
Finance Problem	Synthetix Solution
<i>Centralized control:</i> Assets can generally only be bought and sold on registered exchanges.	Offer synthetic assets in one place that can track any real world asset.
<i>Limited access:</i> Access to certain assets is geographically limited.	Anyone can access Synthetix to buy and sell Synths. Some restrictions may eventually apply to Synths that are securities.
<i>Inefficiency:</i> Large asset purchases suffer from slippage as traders eat into the liquidity pool.	Synths exchange rates are backed by a price feed, which eliminates slippage.
<i>Lack of interoperability:</i> Real-world assets such as stocks can't be easily represented directly on a blockchain	Synth representations of real assets are totally compatible with Ethereum and other DeFi protocols.
<i>Opacity:</i> Lack of transparency in traditional derivative markets.	All protocol-based projects and features are transparently funded and voted upon by a DAO